

Mark Scheme (Practice)

Practice — Pearson Edexcel-style GCE AS Level

Economics A (8EC0) Paper 02 — The UK Economy: Performance and Policies

Difficulty level: Advanced

General marking guidance

- All candidates must receive the same treatment.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than be penalised for omissions.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded; indicative content is not exhaustive.
- Crossed-out work should be marked unless the candidate has replaced it with an alternative response.

Section A

1(a)	The only correct answer is C (actual real output is above the trend rate of potential output). A describes a negative output gap. B describes equilibrium at potential output (no gap). D describes structural growth rather than the output gap itself.	(1)
1(b)	Knowledge 1, Application 1, Analysis 1 Knowledge: identification of one consequence, e.g. demand-pull inflationary pressure (1) / overheating economy (1) / tightening labour market (1). Application: reference to context, e.g. UK output gap of +0.4% of potential GDP in 2022 (1). Analysis: linked development, e.g. when AD exceeds the productive capacity of the economy, firms cannot easily expand output, so prices rise (1) → real wages may be eroded (1) → balance of payments pressure as imports rise (1).	(3)
2(a)	Knowledge 1 1 mark for definition, e.g. an inflow of expenditure into the circular flow of income that is not generated from domestic households' spending (1). Examples include investment (I), government spending (G) and exports (X).	(1)
2(b)	Knowledge 2 Up to 2 marks for, e.g.: rise in consumer confidence (1) → households save less / spend more (1); fall in interest rates (1) → cheaper borrowing / lower returns on saving (1); positive wealth effect from rising house or share prices (1) → households feel wealthier and consume more (1); increase in real disposable income (1) → greater purchasing power (1).	(2)

2(c)	The only correct answer is B (1.11). Working: $k = 1 / (\text{MPS} + \text{MPM} + \text{MRT}) = 1 / (0.25 + 0.30 + 0.35) = 1 / 0.90 \approx 1.11$. A, C and D do not match this calculation.	(1)
3(a)	The only correct answer is B (business investment fell sharply in 2020 before partially recovering). A is incorrect — the index rose to around 131 in 2018, less than double the 2010 value of 100. C is incorrect — growth was clearly uneven. D is incorrect — business investment in 2022 (128) was above the 2010 base (100).	(1)
3(b)	Knowledge 1, Application 1, Analysis 1 Knowledge: identification of a cause, e.g. fall in business confidence (1) / increased uncertainty (1) / reduced expected future demand (1). Application: reference to the chart, e.g. business investment index fell from 130 in 2019 to 119 in 2020 (1). Analysis: linked development, e.g. the Covid-19 pandemic and lockdowns caused a sharp fall in expected revenue (1) → firms postponed or cancelled investment projects to preserve cash (1) → reduced access to credit further constrained investment (1).	(3)

4(a)	Knowledge 1 1 mark for definition, e.g. a fall in the value of one currency against another in a floating exchange rate system (1).	(1)
4(b)	Application 2 • 1 mark for a correct rightward shift of AD (depreciation increases $(X - M)$, $AD_{\blacksquare} \rightarrow AD_{\blacksquare}$). • 1 mark for showing a higher equilibrium price level ($P_{\blacksquare} \rightarrow P_{\blacksquare}$) and a higher equilibrium real output ($Y_{\blacksquare} \rightarrow Y_{\blacksquare}$), with both clearly labelled. <i>(Accept an inward shift of SRAS via more expensive imported inputs, provided the price-level increase is shown correctly.)</i>	(2)
4(c)	The only correct answer is C (an increase in the price of imported goods in pounds). A is incorrect — imports become more expensive, not cheaper. B is incorrect — UK exports become cheaper abroad, increasing the volume demanded (assuming $PED_x + PED_m > 1$). D is incorrect — the Marshall–Lerner condition must hold and the J-curve implies the current account may worsen in the short run.	(1)
5(a)	Knowledge 1 1 mark for definition, e.g. tax levied directly on the income, wealth or profits of individuals or firms, where the burden cannot be passed on (1). Examples include income tax, corporation tax and National Insurance.	(1)
5(b)	Application 2 • 1 mark for correct calculation of the deficit: $1158 - 1027 = \text{£}131 \text{ bn}$. • 1 mark for expressing as a percentage of receipts: $131 / 1027 \times 100 \approx 12.8\%$. <i>Accept 12.7%–12.8% with valid working.</i>	(2)
5(c)	The only correct answer is B (a period of strong economic growth that raises tax revenues). A would raise welfare spending and lower tax revenues, widening the deficit. C is contractionary in the opposite direction (it would widen the deficit). D would reduce nominal tax receipts.	(1)

Section B — Question 6

6(a)	Knowledge 2, Application 2 (4 marks) Knowledge: 2 marks for, e.g. labour productivity measures output produced per unit of labour input (1) usually expressed as output per hour worked or output per worker (1). Application: 2 marks for data references from Figure 1, e.g. UK labour productivity growth was below 1% per year for most of 2011–2019 (1) / it was negative in 2012 and again in 2020 (1) / rebounded to 1.2% in 2021 (1).	(4)
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6(b)	Knowledge 2, Application 2, Analysis 2 + Evaluation 4 (10 marks) Indicative content: - Investment (I) is a component of AD, so a rise shifts AD outwards (AD■ → AD■); real output rises from Y■ → Y■, price level rises from P■ → P■. - In the long run, capital deepening shifts SRAS / LRAS outward, raising productive capacity and reducing inflationary pressure. - Multiplier effect — initial investment leads to further rounds of spending; positive accelerator effects on future investment. - Higher productivity → lower unit labour costs → improved international competitiveness, supporting net exports. - Application: Extract A — “super-deduction” capital allowances allowed firms to deduct 130% of investment; Figure 1 — periods of recovery in productivity coincide with rising business investment. - Correctly labelled AD/AS diagram showing AD shifting right (and ideally LRAS shifting right) is required to access Level 3. Evaluation (up to 4 marks): - Time lags between investment and productivity gains. - Depends on the type of investment (e.g. machinery vs intangibles). - Depends on the state of the economy and elasticity of the AS curve. - Crowding-out if public investment displaces private investment. - Investment financed by borrowing raises debt servicing costs. - Extract A — productivity growth has “not visibly accelerated” despite policy support.	(10)
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Level	Mark	Descriptor
	0	Response is wholly incorrect or off-topic.
Level 1	1–2	Limited or fragmented recall of relevant concepts, theories or models. Application is generic and lacks integration with the stimulus. The argument is descriptive, with cause and effect not clearly linked.
Level 2	3–4	Some accurate knowledge is shown and there is partial application to the context. Analytical points are present but the response is narrow or only partly balanced.
Level 3	5–6	Sound knowledge is demonstrated. The candidate refers to the stimulus consistently and analytical chains are clear and coherent, addressing the main demands of the question.
Level	Mark	Descriptor

	0	No evaluative comment offered.
Level 1	1–2	Brief or generic evaluation, with limited reference to the context and no clear reasoning behind the judgement.
Level 2	3–4	Balanced evaluation with reasoning that draws on the stimulus and addresses the main aspects of the question.

6(c)	Knowledge 2, Application 2, Analysis 2 (6 marks) Knowledge: identification of two supply-side policies, e.g. public investment in infrastructure and R&D; (1) / reductions in corporation tax (1) / super-deduction capital allowances (1) / investment in skills and training (1). Application: 1 mark each for references, e.g. Extract A: 2017 Industrial Strategy promised £23 billion of additional public investment (1); corporation tax cut from 28% in 2010 to 19% in 2017 (1); super-deduction at 130% during 2021–22 (1). Analysis: linked development, e.g. lower corporation tax raises post-tax returns to investment → encourages capital formation → shifts LRAS right (1); infrastructure investment lowers transport and communication costs, raising productivity (1). <i>NB Award up to 4 marks for one well-developed policy (1K + 1Ap + 2An).</i>	(6)
6(d)	Knowledge 1, Application 2, Analysis 2 (5 marks) Knowledge: 1 mark for understanding that investment is sensitive to the cost of borrowing (1). Application: 2 marks for, e.g. Bank of England base rate rose from 0.1% (Dec 2021) to 5.25% (Aug 2023) (1); Figure 2 confirms sharp tightening (1); productivity-improving capital includes machinery, software and ICT (1). Analysis: 2 marks for linked development, e.g. higher base rate raises commercial lending rates passed on to firms (1) → fewer investment projects achieve a positive net present value at higher discount rates (1) → planned investment is delayed or cancelled, reducing the rate of capital deepening (1).	(5)

6(e)	Knowledge 3, Application 3, Analysis 3 + Evaluation 6 (15 marks) Indicative content (factors apart from business investment): • Skills shortages — Extract A notes shortages in construction, hospitality and digital. Weak human capital limits TFP growth. • Quality of management and the diffusion of best-practice techniques across firms (the "long tail" of low-productivity firms). • Inadequate regional infrastructure outside London — congestion and connectivity issues. • Brexit-related uncertainty and trade frictions reducing access to EU markets and labour. • Weak R&D; spending relative to OECD average — limited innovation. • Composition of output — shift from manufacturing to lower-productivity services. • Slow growth of capital per worker. • Low real wages reducing employer incentive to substitute capital for labour. • Demographic factors — ageing workforce. Evaluation (up to 6 marks): • Difficult to isolate the contribution of each factor — combination matters most. • Productivity is mismeasured for digital, intangible and services output. • Cyclical vs structural factors — pandemic recovery may not reveal trend growth. • Time lags — policies aimed at skills take a generation. • Some factors (e.g. Brexit) interact with investment. • Magnitude/significance of each factor differs.	(15)
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	0	Response is wholly incorrect or off-topic.
Level 1	1–3	Limited recall of relevant theory. Use of context is weak or absent. Reasoning is descriptive rather than analytical, with no clear chain from cause to effect.
Level 2	4–6	Reasonable knowledge of the topic is shown with some appropriate use of the data. Chains of reasoning are developed but the response may be narrow or unbalanced.
Level 3	7–9	Strong and accurate knowledge is applied to the context throughout. Analysis is logical, well structured and addresses the main aspects of the question.

Level	Mark	Descriptor
	0	No evaluative comment offered.
Level 1	1–2	Brief or generic evaluation, with limited reference to the context and no clear reasoning behind any judgement.
Level 2	3–4	Some weighing of alternative arguments is shown but the discussion is unbalanced, and judgements are not fully supported. A partial chain of reasoning is offered.

Level 3	5–6	Balanced evaluation, with judgements clearly supported by reasoning and consistent reference to the stimulus. The response addresses the main aspects of the question and leads to a supported conclusion.
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6(f)	Knowledge 4, Application 4, Analysis 6 + Evaluation 6 (20 marks) KAA (supply-side policies more effective in the long run): • Supply-side policies (education, training, R&D, infrastructure, tax incentives) raise LRAS, generating sustained increases in trend growth without inflation. • Examples from Extract A: £23 bn Industrial Strategy, corporation tax cuts, super-deduction. • Demand-side stimulus only moves the economy along its existing PPF/LRAS once at full capacity. • In the long run, growth depends on labour, capital and total factor productivity — all addressed by supply-side reforms. Evaluation (demand-side may also matter): • In a recession with spare capacity, demand-side policies can raise actual output without inflation. • Hysteresis: prolonged demand weakness damages skills and capital, lowering long-run growth. • Supply-side policies have long time lags and uncertain effects (Extract A — “productivity growth has not visibly accelerated”). • Some supply-side policies have undesirable distributional consequences (e.g. cuts to top tax rates). • A balanced policy mix is typically needed. • The effectiveness of either approach depends on the source of slow growth (cyclical vs structural).	(20)
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	0	Response is wholly incorrect or off-topic.
Level 1	1–3	Limited recall of relevant theory. Use of context is weak or absent. Reasoning is descriptive and lacks logical chains.
Level 2	4–6	Some accurate knowledge is shown with limited use of the data. Reasoning is brief or only partly developed, with at most a two-step chain.
Level 3	7–10	Sound knowledge is applied to the context, with evidence drawn from the stimulus. Reasoning is generally coherent but the response may lack balance.
Level 4	11–14	Precise and confident knowledge is applied directly to the context. Evidence from the stimulus is integrated throughout, and the candidate develops fully coherent and well-structured analytical chains.

Level	Mark	Descriptor
	0	No evaluative comment offered.
Level 1	1–2	Brief or generic evaluation, with limited reference to the context and no clear reasoning behind any judgement.
Level 2	3–4	Some weighing of alternative arguments is shown but the discussion is unbalanced, and judgements are not fully supported. A partial chain of reasoning is offered.
Level 3	5–6	Balanced evaluation, with judgements clearly supported by reasoning and consistent reference to the stimulus. The response addresses the main aspects of the question and leads to a supported conclusion.

6(g)	Knowledge 4, Application 4, Analysis 6 + Evaluation 6 (20 marks) KAA (arguments that sharp rate rises were appropriate): • High inflation imposes substantial costs (shoe-leather, menu, distributional, uncertainty). • Anchoring inflation expectations is critical to MPC credibility. • Higher base rates reduce AD via cost of borrowing, mortgage repayments and exchange rate effects. • Figure 2: base rate rose from 0.1% to 5.25% while CPI inflation peaked above 11%. Evaluation (arguments against): • UK inflation in 2022 was largely cost-push (global energy and food prices). Monetary policy is less effective against supply shocks. • Sharp tightening risks tipping the economy into recession; UK growth slowed to 0.1% in 2023. • Disproportionate burden on mortgage holders. • Time lags — base rate changes take 12–24 months to fully transmit; risk of overshooting. • Alternatives: targeted fiscal measures, energy price subsidies, supply-side reforms. • Could have raised rates earlier and more gradually (criticism of MPC delay).	(20)
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Level 3	5–6	Balanced evaluation, with judgements clearly supported by reasoning and consistent reference to the stimulus. The response addresses the main aspects of the question and leads to a supported conclusion.